

Water Supply Management Board Act, 2006

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Drinking Water Management Board Act, 2063

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Acts Amending

1. Some Nepal Acts Amendment Act, 2064 2064.05.09
2. Some Nepal Acts Amendment Act, 2072 2072.11.13
3. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act No. 21 of the year 2063

An Act Made to Provide for the Drinking Water Management Board

Preamble: Whereas, it is expedient to establish and operate a Drinking Water Management Board to make regular, systematic, qualitative and accessible drinking water and sanitation services in the municipal areas and to make proper and effective arrangements for providing reliable service to the residents of such areas,

The House of Representatives has enacted this Act in the first year of the issuance of the House of Representatives Proclamation, 2063. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Drinking Water Management Board Act, 2063".

(2) This Act shall be deemed to have commenced from the 27th day of the month of Ashwin of the year 2063.

2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Board" means the Drinking Water Management Board constituted pursuant to Section 3, and the word also refers to the Kathmandu Valley Drinking Water Management Board constituted pursuant to Section 7.

(b) "Committee" means the Executive Committee of the Board constituted pursuant to Sections 10 and 11.

(c) "Chairperson" means the Chairperson of the Committee, and the word also includes any other person acting as Chairperson in the absence of the Chairperson.

(d) "Member" means a member of the Executive Committee, and the word also includes the Chairperson.

Amended by Some Nepal Acts Amendment Act, 2082.(e) "Municipality" means a municipality established pursuant to the Constitution of Nepal, and the word also includes a metropolitan municipality and a sub-metropolitan municipality.

(f) "Corporation" means the Nepal Drinking Water Corporation established pursuant to the Nepal Drinking Water Corporation Act, 2046.

(g) "Geographical Area" means the area specified by the Board pursuant to Section 5 for operating and managing or causing to operate and manage drinking water or sanitation services.

(h) "Natural Water" means water emanating from natural stone spouts, wells, rivers, streams, dug wells, ponds, lakes or surface natural sources since time immemorial, or water extracted from underground sources.

(i) "Drinking Water Service" means the work of treating and purifying natural water and making water available to consumers.

(j) "Sanitation Service" means the work of destroying, disposing, treating or purifying human excreta or wastewater discharged after domestic, commercial or industrial use, as well as all kinds of waste materials mixed in such water.

(k) "Service" means a drinking water or sanitation service.

(l) "License" means a license issued to a service provider to operate and manage the service.

(m) "Service Provider" means any person, consumer group or organized institution providing services for a fee, and the word also includes any other person who provides services by entering into an agreement with the Board.

(n) "Service System" means pipes, reservoirs or plants for treating or purifying drinking water, wastewater or sewage mixed water, or other similar equipment or structures constructed or installed for the purpose of providing drinking water or sanitation services.

(o) "Tariff" means the fee that a service provider may collect from consumers for providing services.

(p) "Executive Director" means the Executive Director of the Board appointed pursuant to Section 17.

(q) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

Chapter-2 Constitution, Functions, Duties and Powers of the Board

3. Board May Be Constituted: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, upon consultation with the concerned municipality, constitute a Drinking Water Management Board as required for effectively operating and managing or causing to operate and manage the service system and service of one or more municipal areas being operated by any government agency or institution at the time of commencement of this Act.

Amended by Some Nepal Acts Amendment Act, 2064.

(2) If at the time of commencement of this Act, the service system and service under Subsection (1) is also being operated in some or all parts of a Amended by Some Nepal Acts Amendment Act, 2072.rural municipality, such part of that Amended by Some Nepal Acts Amendment Act, 2072.rural municipality may also be included within the geographical area of the Board constituted under Subsection (1).

(3) Notwithstanding anything contained in Subsection (1), if any municipality wishes to operate and manage or cause to operate and manage any service system or service being operated by a government agency, municipality or institution under this Act, it may submit an application to the Government of Nepal for the constitution of a Board, specifying the following details:-

- (a) The geographical area where the service will be operated and managed,
- (b) Details of any Amended by Some Nepal Acts Amendment Act, 2072.rural municipality adjoining the municipality where service has been extended,
- (c) The status of water sources located within or related to the area where the service will be operated and managed,
- (d) The estimated number of consumers and details of service demand,
- (e) The estimated cost for operating the service,
- (f) A long-term plan prepared for service operation, management, maintenance, improvement, or service expansion,
- (g) A work plan prepared to make the service effective and qualitative,
- (h) Whether the Board itself will operate the service or cause it to be operated through other persons or institutions,
- (i) If the service system being operated by any government agency is to be transferred to the Board for service operation, the assets and liabilities associated with such service system, the method of transfer, and other related arrangements, and
- (j) Other matters as prescribed.

(4) Upon examining the application submitted under Subsection (3), if it appears necessary to constitute such a Board, the Government of Nepal may, by publishing a notice in the Nepal Gazette, constitute a Board as per the applicant's request. 4. Board to be an Autonomous Institution: (1) The Board shall be an autonomous corporate body with perpetual succession.

(2) The Board shall have its own separate seal for the purpose of its business.

(3) The Board may, like a person, acquire, enjoy, sell, or otherwise manage movable and immovable property.

(4) The Board may sue and be sued in its own name like a person. 5.

Geographical Area of the Board: (1) The geographical area of a Board constituted under Section 3 shall be as specified in the notice published by the Government of Nepal in the Nepal Gazette at the time of such constitution. (2) If for any reason the geographical area of the Board under Subsection (1) needs to be increased, decreased or altered, the Board shall submit an application to the Government of Nepal with sufficient reasons therefor. (3) Upon receiving an application under Subsection (2), the Government of Nepal shall make necessary inquiry in that regard. (4) If upon inquiry under Subsection (3) it appears appropriate to increase, decrease or alter the geographical area of the Board, the Government of Nepal may, by publishing a notice in the Nepal Gazette, increase, decrease or alter the geographical area of the Board. 6. Functions, Duties and Powers of the Board: In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the Board shall be as follows:- (a) To acquire, construct, expand, improve and restore service systems, (b) To formulate and implement policies relating to the use of services, (c) To prevent misuse of drinking water and prevent drinking water from being polluted, (d) To conduct or cause to conduct studies, research and surveys regarding water sources, distribution and sanitation, (e) To prepare and implement short-term and long-term plans relating to service systems, (f) To determine necessary investment for service operation, prepare a plan therefor and arrange or cause to arrange financial resources, (g) To identify and obtain sources of funds required for expansion and development of services, (h) To cause the determination of tariff rates for services in accordance with the prevailing law, (i) To make necessary arrangements to provide quality and effective services, (j) To issue licenses to service providers

for providing services, or to cause services to be provided by entering into agreements with service providers, (k) To collect or cause to collect the determined tariff for services provided to consumers, (l) To hear and provide appropriate remedy if any consumer suffers hardship due to the service provided by a service provider, (m) To perform other functions as prescribed necessary for service operation. 7.

Constitution of Kathmandu Valley Drinking Water Management Board: (1) Notwithstanding anything contained in Section 3, the Government of Nepal may constitute a separate Kathmandu Valley Drinking Water Management Board to operate or cause to operate drinking water services and sanitation services in the municipal areas within the Kathmandu Valley in a regular, systematic and effective manner. (2) If at the time of constituting the Board under Subsection (1), service is also being operated from the service systems of municipalities in the Kathmandu Valley to any Amended by Some Nepal Acts Amendment Act, 2072.rural municipality or part thereof, such Amended by Some Nepal Acts Amendment Act, 2072.rural municipality or part thereof may also be included within the geographical area of the Board. (3) After the Board under Subsection (1) is constituted, the Government of Nepal may transfer to the Board, as prescribed, the service being operated and managed by the Corporation within the Kathmandu Valley and the related service system, assets and liabilities. (4) If at the time of constituting the Board under Subsection (1), any government agency is providing services in the municipal areas within the Kathmandu Valley, the Government of Nepal may also transfer its service system to the Board constituted under this Section. (5) Within one year of the completion of the Melamchi Project, which is being operated at the time of commencement of this Act to bring water from the Melamchi River in Sindhupalchowk District to the Kathmandu Valley and include it within the Valley's service system, the Government of Nepal shall transfer all structures of that Project, equipment installed in such structures, and related liabilities to the Board constituted under Subsection (1), as prescribed. (6) If the structures and equipment of such Project are transferred under Subsection (5), the structures built under that Project, the equipment installed therein and the service system shall be deemed to have automatically transferred to the Board constituted under this Section, and the responsibility for their repair, maintenance and expansion shall lie with that Board. (7) When transferring the structures and equipment of the Project under Subsection (5), the employees associated with such structures, equipment or service system may, as necessary, be transferred to the Board under this Section. (8) In addition to the functions, duties and powers mentioned in Section 6, the functions, duties and powers of the Kathmandu Valley Drinking Water Management Board shall be as follows:- (a) To obtain water for providing services within its geographical area by diverting water from natural sources outside its geographical area, and to enter into agreements with other persons in this regard in accordance with the prevailing law, Provided that while bringing water into its geographical area by diversion from outside its geographical area, a reasonable amount may be paid to the local bodies or consumers of that area. (b) If it is necessary to take over any service system being operated by any municipality or service provider at the time of commencement of this Act, to take such service system into its ownership by paying reasonable compensation and operate and manage or cause to operate and manage it, (c) Unless otherwise provided by the prevailing law, to regulate, control or prohibit, as prescribed, the extraction and use of water from underground sources within its geographical area, and to issue licenses as prescribed for extracting or using such water as necessary.

Added by Some Nepal Acts Amendment Act, 2082.(d) To collect tariff as prescribed in proportion to the quantity from users who, having obtained a license under Clause (c), use water from underground sources for commercial and industrial purposes. Explanation: For the purpose of this Clause, "commercial and industrial purposes" means purposes where water produced by a water-based industry is used and may be sold outside the area of production, and purposes used in industries and businesses where water is

consumed only within the industrial premises and cannot be used or sold outside the area of production. 8. Board to Operate or Cause to Operate Services: (1) The Board may operate the services that need to be operated by itself, or as necessary, by issuing a license to a service provider or by entering into an agreement with him. Provided that the Board constituted under Section 7 shall cause services to be operated only through service providers.

(2) When issuing a license to a service provider or entering into an agreement with him under Subsection (1), the Board may prescribe necessary conditions.

(3) The conditions to be complied with by the service provider shall be as mentioned in the license or agreement.

(4) The format of the license and the matters to be mentioned in the agreement shall be as prescribed. 9. Rights Relating to Water Consumption and Distribution to Vest: (1) If a service system operated and managed by the Corporation is transferred to the Board, the Board shall have rights over the water source used by the Corporation to provide services.

(2) In the course of using, operating, maintaining or rehabilitating a service system transferred from the Corporation under Subsection (1), the Board shall have the same rights as the Corporation had regarding laying pipes or re-constructing or re-establishing structures on public or private land. Chapter-3

Provisions Relating to Constitution of the Executive Committee

10.

Constitution of the Executive Committee: (1) There shall be an Executive Committee to conduct all business to be performed on behalf of the Board constituted under Section 3. (2) The Committee under Subsection (1) shall consist of the following members:- (a) The chief of the municipality(s) within the Board's geographical area - Member (b) Representative, Ministry of Drinking Water - Member (c) One chairperson of a Amended by Some Nepal Acts Amendment Act, 2072.rural municipality elected from among themselves by the chairpersons of rural municipalities within the Board's geographical area - Member (d) The chairperson of the local Chamber of Commerce and Industry - Member (e) The chairperson of the local consumer association - Member (f) One person nominated by the Committee from among the local non-governmental organizations working in the field of drinking water or sanitation services - Member (g) One person nominated by the Committee from among experts in the field of drinking water and sanitation services - Member (3) If there is more than one institution in the respective field when representation is made by a member under Clause (c), (d) or (e) of Subsection (2), such institutions shall take turns representing. Provided that if no agreement is reached among such institutions regarding representation by rotation, the Committee itself shall nominate representation from among such institutions. (4) When nominating a member under Clause (f) of Subsection (2), priority shall be given to women where available. (5) The term of office of a nominated member under Subsection (2) shall be four years. (6) The person chosen from among themselves by the members of the Committee shall be the Chairperson of the Committee. (7) Before assuming office, a member of the Committee shall take an oath in the format as mentioned in the Schedule. (8) The Executive Director shall act as the Secretary of the Committee. 11.

Constitution of the Executive Committee of Kathmandu Valley Drinking Water Management Board: (1) There shall be an Executive Committee to conduct all business to be performed on behalf of the Kathmandu Valley Drinking Water Management Board constituted under Section 7. (2) The Committee under Subsection (1) shall consist of the following members:- (a) Representative (Gazetted First Class), Ministry of Drinking Water

- Member (b) The chiefs of municipalities within the Kathmandu Valley - Member (c) Omitted by Some Nepal Acts Amendment Act, 2072 (d) Representative, Federation of Chambers of Commerce and Industry - Member (e) Representative of a consumer association organization working in the Kathmandu Valley, nominated by the Committee - Member (f) Representative of an institution related to drinking water or sanitation services within the Board's geographical area, nominated by the Committee - Member (g) One person nominated by the Committee from among experts in the field of drinking water and sanitation services - Member (3) Provisions relating to the term of office of members, selection of the Chairperson, representation of women in the Committee and the Secretary of the Committee shall be as mentioned in Section 10. 12. Circumstances for Vacancy of Member's Office: The office of a nominated member of the Committee shall be deemed vacant in the following circumstances:- (a) If he submits a written resignation from his office to the nominating body, (b) If his term of office expires, (c) If he is adjudged insolvent, (d) If he is convicted by a court on a criminal charge, (e) If he is absent without notice from three consecutive meetings of the Committee, (f) If he dies. 13. Filling of Vacancy: If the office of a nominated member of the Committee falls vacant for any reason, the vacant office shall be filled for the remaining term by nomination in the same manner in which he was originally nominated. 14.

Meetings and Decisions of the Committee: (1) The Committee shall meet at least six times a year, and the interval between two meetings shall not exceed three months. (2) The meeting of the Committee shall be held at the date, time and place specified by the Chairperson. (3) Notwithstanding anything contained in Subsection (2), if at least twenty-five percent of the members of the Committee make a written request to convene a meeting, the Chairperson shall convene a meeting of the Committee within seven days from the date of receipt of such written request. (4) If more than fifty percent of the total number of members of the Committee are present, the quorum for the meeting of the Committee shall be deemed to be constituted. (5) The meeting of the Committee shall be presided over by the Chairperson, and in his absence, a member chosen from among the members present shall preside over the meeting. (6) The opinion of the majority shall prevail in the meeting of the Committee, and if the votes are equal, the person presiding over the meeting shall cast a casting vote. (7) The decision of the Committee shall be certified by the Executive Director. (8) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. 15. Allowances and Facilities of Members: (1) A member of the Committee shall receive a meeting allowance as prescribed for participating in meetings. (2) Other facilities received by a member of the Committee for performing work of the Board shall be as prescribed. 16. To Have Regard to Public Interest: The Committee shall, while performing business on behalf of the Board, have regard to the greater public interest and general convenience, and shall also consider the cost incurred in performing such work. Chapter-4 Provisions Relating to Executive Director and Employees 17.

Appointment of Executive Director: (1) The Committee shall appoint a person possessing qualifications as prescribed to the position of Executive Director to act as the administrative chief of the Board. (2) The term of office of the Executive Director shall be five years. (3) Notwithstanding anything contained in Subsection (2), if the Executive Director fails to fulfill his official responsibilities, acts contrary to the interests of the Board, engages in any misconduct, or fails to act in accordance with the directions given by the Committee, the Committee may, by adopting the prescribed procedure, remove him from the position of Executive Director at any time. Provided that before such removal, he shall not be deprived of a reasonable opportunity to present his defense. (4) The remuneration, facilities and other terms of service of the Executive Director shall be as prescribed. 18. Functions, Duties and Powers of the Executive Director: The functions, duties and powers of the Executive Director shall be as follows:- (a) To implement or cause to implement the decisions and directions of the Committee, (b) To prepare or cause to prepare short-term and long-term plans, annual

programs and budget of the Board, (c) To implement or cause to implement the programs approved by the Committee, (d) To recommend to the Committee for the appointment of employees necessary for the Board, (e) To submit proposals requiring approval from the Committee to the Committee, (f) To perform other functions as prescribed. 19. Provisions Relating to Employees: (1) There shall be as many employees in the Board as necessary. (2) The appointment, remuneration, facilities and other terms of service of the employees under Subsection (1) shall be as prescribed. Chapter-5 Privileges of the Board 20. May Obtain Loans and Assistance: The Board may, as necessary, obtain loans or assistance from any bank or financial institution within Nepal, or from any foreign government, international association or institution. Provided that before obtaining loans or assistance from a foreign government, international association or institution, the Board shall obtain the approval of the Government of Nepal. 21. May Make Investments: (1) The Board may invest the amount lying in the Fund under Section 28, having regard to the interests of consumers. (2) The area and conditions of investment to be made under Subsection (1) shall be as prescribed. 22.

May Enter Land and Buildings: (1) If any employee of the Board needs to enter the land and building of any consumer in the course of performing his duty, he may enter such land and building after giving notice to the concerned person with the reason therefor. Provided that if there are reasonable grounds and reasons to suspect that any person is misusing or unauthorizedly using the service, no notice is required to enter such land and building. (2) A service provider who has obtained a license from the Board or entered into an agreement with the Board shall also have the right under Subsection (1). 23. May Lay Pipes on Private or Public Land: (1) The Board may lay pipes or construct other structures on private or public land for the purpose of providing drinking water or sanitation services to consumers. (2) If, while laying pipes or constructing other related structures under Subsection (1), any damage or loss is caused to any person's private land, the Board shall pay reasonable compensation to the concerned landowner therefor. 24. May Levy Fees from Service Providers: (1) The Board may levy fees as prescribed from service providers operating services within its geographical area. (2) If the Board has issued a license to any service provider to operate its service system, the amount as mentioned in the license shall be recovered from such service provider. 25. May Impose Additional Charges: (1) If a consumer fails to pay the tariff due for using the service within the prescribed time, or if a consumer is provided with additional services beyond the regular service, the Board may recover additional charges as prescribed from such consumer. (2) A service provider who obtains a license from or enters into an agreement with the Board to operate services may also impose and collect additional charges under Subsection (1). 26. May Suspend or Terminate Service: (1) The Board or the service provider may suspend or terminate the service of a consumer who fails to pay the tariff determined under this Act or the prevailing law, or fails to pay the tariff within the prescribed time. (2) If service is terminated under Subsection (1), and the consumer pays the tariff and other charges due to the Board or the service provider, the service shall be provided to him again. Chapter-6 Offenses and Penalties 27.

Offenses and Penalties: (1) If any person commits any act contrary to this Act or the rules made hereunder, and commits the following offenses, the Board may penalize such person as follows:- (a) If he demolishes or damages any structure, installation or infrastructure related to the service, or causes damage in any other manner, recover the damage caused and impose a fine of up to fifty thousand rupees depending on the gravity of the offense, (b) If he pollutes drinking water causing adverse effects on public health, impose a fine of up to twenty-five thousand rupees depending on the gravity of the offense, (c) If he unauthorizedly uses or misuses the service, impose a fine of up to fifteen thousand rupees and disconnect the service, (d) If he damages a service meter or other similar equipment, or obstructs or hinders the provision of service, impose a fine of up to ten thousand rupees, (e) If he steals, damages, demolishes or destroys a pipe line installed in the service system, recover the loss caused by such act, impose a fine according to the loss, and if the

person committing such act is a consumer, suspend or disconnect the service of such consumer for up to six months. (2) Where service is provided by a service provider, the service provider may file an application to the Board for imposing penalties or claiming compensation for offenses under Subsection (1). (3) If, upon investigation of an application filed by a service provider under Subsection (2), a person is found to have committed an offense, the Board may order appropriate penalty under Subsection (1). (4) The Board may constitute a Judicial Committee as prescribed for investigating offenses and imposing penalties under this Section. (5) An appeal may be filed against a penalty imposed by the Judicial Committee under Subsection (4) to the concerned Amended by Some Nepal Acts Amendment Act, 2072.High Court. (6) The procedure of the Judicial Committee constituted under Subsection (4) shall be as prescribed. Chapter-7 Fund of the Board and Audit 28.

Fund of the Board: (1) The Board shall have its own separate Fund. (2) The Fund under Subsection (1) shall consist of the following amounts:- (a) Amount received from the Government of Nepal, (b) Amount received as loans, grants or assistance from foreign governments, international associations or institutions, (c) Amount received for allowing service providers to use the service system, (d) Amount received as license fees from service providers, (e) Amount paid by consumers as tariffs, (f) Amount received from any other source. (3) All expenses of the Board shall be borne from the Fund under Subsection (1). (4) The amount lying in the Fund of the Board shall be deposited by opening an account in any bank or financial institution within Nepal, and the operation of such account shall be as prescribed. 29. Consumer Protection Fund: (1) The Board shall establish a Consumer Protection Fund to deposit the amount received as fines under Section 27. (2) The amount deposited in the Fund under Subsection (1) shall be used for regularizing services, for necessary maintenance or reconstruction of the service system, and for providing grants to consumers as prescribed. (3) Procedures relating to the operation, management and use of the Fund shall be as prescribed. 30. Accounts and Audit: (1) The accounts of income and expenditure of the Board shall be kept in accordance with the prevailing law. (2) The Board shall conduct or cause to conduct internal audit and internal control as prescribed. (3) The audit of the income and expenditure of the Board shall be conducted by a licensed auditor appointed by the Committee. (4) The Government of Nepal may, at any time if it so desires, inspect or investigate the accounts of the Board and related documents. Chapter-8 Miscellaneous 31. May Give Directions: The Government of Nepal may give necessary directions to the Board regarding maintaining the quality of services, protecting the environment, and maintaining the quality of drinking water and sanitation, and it shall be the duty of the Board to comply with such directions. 32. Annual Report to be Submitted: (1) The Board shall, within three months from the date of expiry of each fiscal year, submit an annual report to the Government of Nepal including the following matters, among others:- (a) Details of income and expenditure of the Board, (b) Details of work performed during the year and administrative expenses incurred therefor, (c) Work plan for the next year, estimated budget required therefor and its sources, (d) Other details as prescribed. (2) The Government of Nepal shall cause the report under Subsection (1) to be made public by the Board every year. 33.

May Constitute Sub-Committees: (1) The Board may, as necessary, constitute a sub-committee involving experts related to various subjects, service providers and consumers as well, for smoothly performing the business to be done by it. (2) The functions, duties, powers and facilities to be received by members of a sub-committee constituted under Subsection (1) shall be as prescribed. 34. Contact with Government of Nepal: The Board shall maintain contact with the Government of Nepal through the Ministry of Drinking Water. 35. Power to Make Rules: The Board may make necessary rules to implement the objectives of this Act, and such rules shall come into force after approval by the Government of Nepal. 36. May Frame and Implement Directives: The Board may, subject to this Act or the rules made hereunder, frame and implement

necessary directives. 37. Consequences after Invalidation of the Drinking Water Management Board Ordinance, 2062: After the invalidation of the Drinking Water Management Board Ordinance, 2062, unless a contrary intention appears, such invalidation shall not,- (a) revive anything not in force or not existing at the time of such invalidation, (b) affect anything done or any right acquired before such invalidation in accordance with the procedures under that Ordinance, (c) affect any right, benefit, duty or liability acquired, obtained or enjoyed under that Ordinance, (d) affect any penalty or forfeiture imposed under that Ordinance, (e) affect any action or measure taken in relation to any such right, benefit, duty, liability, penalty or forfeiture, and any legal proceedings or measures may be initiated, continued or enforced as if that Ordinance were still in force.

Schedule (Related to Subsection (7) of Section 10) Oath I , , do take oath in the presence of God/do solemnly affirm that I will, in the capacity of Chairperson/Member of the Committee, perform the responsibilities and duties entrusted to me impartially and honestly, without fear, terror, favouritism, partiality, malice or greed, and that I will not, under any circumstances, through any medium, whether I hold office or not, reveal any confidential matter that comes to my knowledge in the course of performing my duty, except in the course of compliance with the prevailing law. Date:- Signature: